

Grand Slam Hitting

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The ancient Greek dramatist Euripides said, "The best of seers is he who guesses well." Each year since 1980, *Barron's* has given me the opportunity to sit down with a distinguished group of good guessers at the annual Roundtable and divine what the economy, the markets and some individual stocks would do in the year ahead. Now, in honor of *Barron's* 75th Anniversary, I've been invited to stick my neck out even further and discuss several investment themes that will theoretically enrich readers over the next five years. Fair enough.

I will begin with the confession that over the past 20 years, our annual macroeconomic and market forecasts haven't always been right. Fortunately for our clients and *Barron's* readers, our investment methodology is not built upon accurately predicting interest-rate trends or timing the market, but rather on picking stocks, and many of our picks have fared quite well.

One reason is that we've had a good batting average identifying trends—we call them catalysts—that have unlocked value in selected industry groups. A catalyst can be a change in regulatory standards such as the original cable television deregulation bill of 1984 that led us to lucrative investments in cable stocks. It can be consolidation within an industry.